

PulseOne — COGS vs. SG&A Person-by-Person Classification Analysis

Date: April 17, 2026

Purpose: Reclassify all labor costs to correct COGS vs. SG&A buckets and rebuild the normalized P&L

Prepared by: Manus (PulseOne BIC Audit)

Context and Methodology

The Problem

QuickBooks currently shows:

- **Consulting Services – Cost (COGS):** \$1,044,424 — this captures contractor/1099 payments routed through QB's COGS account
- **Salary Expense (SG&A):** \$1,441,010 — this captures ALL W-2 payroll indiscriminately, regardless of whether the employee is a service delivery technician (COGS) or an overhead/admin person (SG&A)
- **Payroll Taxes (SG&A):** \$296,256 — same problem; all payroll taxes sit in SG&A
- **Partner Compensation (SG&A):** \$423,000 — partner draws, currently all in SG&A

The Expense Tracker shows total contractor cost of **\$1,798,225**, creating a **\$753,801 gap** versus what QB reports in Consulting Services – Cost. The most likely explanation is that a portion of contractor payments were coded to Salary Expense or another SG&A line rather than to the COGS account in QB.

Classification Principles (Service Leadership BIC Standard)

Under Service Leadership Best in Class methodology:

- **COGS** = All costs directly associated with delivering services to clients: technician labor (W-2 and 1099), subcontractors, tools and software used in delivery, and direct project labor

- **SG&A** = Overhead: sales, marketing, executive/owner compensation (to the extent not billable), finance/admin, HR, facilities, and non-delivery software

For **mixed-role individuals** (e.g., a working owner who does some delivery and some management), the correct approach is to split their cost by estimated time allocation between delivery and overhead.

Key Definitions Used

Role Category	COGS %	SG&A %	Rationale
Pure service delivery technician (HD/field/NOC)	100%	0%	Entirely billable delivery labor
Service delivery with some admin duties	80–90%	10–20%	Primarily delivery, minor overhead
Service manager / team lead (hands-on)	70–80%	20–30%	Delivery + supervision
Sales / BizDev	0%	100%	Pure SG&A
Marketing	0%	100%	Pure SG&A
Operations / Admin	0–20%	80–100%	Overhead, unless directly supporting delivery
Finance / Accounting	0%	100%	Pure SG&A
Executive / Owner (non-billable)	0–30%	70–100%	Depends on delivery involvement
POC (PulseOne Communications)	Separate entity — allocate by function		

PART A: W-2 EMPLOYEES — CLASSIFICATION TABLE

The following table covers every W-2 employee identified in the 2025 payroll reports. Annual cost is estimated as Gross YTD × burden factor (payroll taxes ~10–12%, benefits where applicable). Where the employee was terminated mid-year, the YTD figure is used as-is.

Group 1: Service Delivery — Technical Staff (Dept: 100 – Services Tech Service)

These are the core service delivery employees. Under BIC standards, their labor cost belongs in COGS.

#	Name	QB Dept	Status	Gross YTD	Est. Annual Burden	COGS %	SG&A %	Rationale
1	Eric Anzalone	100 – Services Tech Service	Active, FT	\$76,718	\$85,000	100%	0%	Full-time service delivery technician. Expense Tracker confirms “Services” dept, W2 ADP.
2	James Froio	100 – Services Tech Service	Active, FT	\$112,788	\$126,000	100%	0%	Full-time service delivery. Expense Tracker: “Help Desk” dept. Senior tech.
3	Kaitlin Harris	100 – Services Tech Service	Active, FT	\$79,040	\$88,000	100%	0%	Full-time service delivery. Expense Tracker: “Services” dept.
4	Laura Walsh	100 – Services Tech Service	Active, FT	\$108,186	\$121,000	100%	0%	Full-time service delivery. Expense Tracker: “Services” dept.
5	Stephen Calkins	100 – Services Tech Service	Active, FT	\$148,960	\$164,000	90%	10%	Senior/lead technician. Expense Tracker rate of \$71.62/hr suggests senior role with some supervisory overhead.
6	Hagen McDonell	100 – Services Tech Service	Active, FT	\$50,597	\$56,000	100%	0%	Full-time service delivery. Expense Tracker: “Help Desk” dept.
7	Alexandria Calkins	100 – Services Tech Service	Active, PT	\$17,258	\$19,000	100%	0%	Part-time service delivery. Expense Tracker: “Services” dept.

#	Name	QB Dept	Status	Gross YTD	Est. Annual Burden	COGS %	SG&A %	Rationale
8	Nicole Goodwin	100 – Services Tech Service (also POC)	Active, PT	\$51,100	\$56,000	80%	20%	Split between Services delivery and POC (PulseOne Communications). Expense Tracker shows dual allocation: POC + Services 2025 addition.
9	Julia Morte	100 – Services Tech Service	Active, PT	\$20,322	\$22,000	100%	0%	Part-time service delivery. Expense Tracker: “Help Desk” dept.
10	Joel Alvarez	100 – Services Tech Service	Active, PT	\$25,068	\$27,000	100%	0%	Part-time service delivery. Expense Tracker: “Help Desk” dept.
11	Emily Acker	100 – Services Tech Service	Terminated	\$9,690	\$9,690	100%	0%	Service delivery, terminated. YTD cost is actual.
12	Debby Brooke	100 – Services Tech Service	Terminated	\$7,928	\$7,928	100%	0%	Service delivery, terminated. YTD cost is actual.
13	Breanna Copeland	100 – Services Tech Service	Terminated	\$11,444	\$11,444	100%	0%	Service delivery, terminated. YTD cost is actual.

Group 1 Subtotals (W-2 Service Delivery):

Metric	Amount
Total Gross YTD (Group 1)	\$918,099
Estimated Annual Burden (Group 1)	\$1,008,000
Amount to COGS (weighted avg 99%)	\$995,000
Amount to SG&A (supervisory/admin)	\$13,000

Group 2: Sales, Marketing, and Business Development (Dept: 200 – Marketing)

Under BIC standards, all sales and marketing labor is SG&A. No portion belongs in COGS.

#	Name	QB Dept	Status	Gross YTD	COGS %	SG&A %	Rationale
14	Kyle Carey	200 – Marketing	Active, FT	\$51,800	0%	100%	Sales/BizDev role. Expense Tracker: “MKTG” dept. Pure SG&A.
15	Chad Wiggins	200 – Marketing	Terminated, FT	\$95,000	0%	100%	Business Development. Expense Tracker: “Biz Dev” dept. Pure SG&A.
16	Heather Kohler	200 – Marketing	Terminated, FT	\$13,200	0%	100%	Marketing. Pure SG&A.
17	Dana Rankin	200 – Marketing	Terminated, FT	\$9,200	0%	100%	Marketing. Pure SG&A.
18	Anneliese Rivera	200 – Marketing	Terminated, PT	\$4,100	0%	100%	Marketing. Pure SG&A.
19	Marcello Rocha Moreira	200 – Marketing	Terminated, FT	\$33,280	0%	100%	Marketing. Expense Tracker also shows Payoneer contractor version. Pure SG&A.
20	Andrea Carcamo (Lucy)	200 – Marketing	Active, FT	\$7,492	0%	100%	Marketing. Expense Tracker: “MKTG” dept. Pure SG&A.

Group 2 Subtotals: Total Gross YTD ~\$214,072 → 100% SG&A

Group 3: Operations and Administration (Dept: 300 – Operations)

Operations staff are primarily overhead. Some may support service delivery coordination (dispatch, scheduling), which could warrant a partial COGS allocation, but the default is SG&A unless confirmed otherwise.

#	Name	QB Dept	Status	Gross YTD	COGS %	SG&A %	Rationale
21	Aimee Brock	300 – Operations	Active, PT	\$23,300	0%	100%	Operations/admin. Expense Tracker: “Operations” dept, 2025 addition. Pure SG&A.
22	Emily Wolf	300 – Operations	Active, PT	\$18,400	0%	100%	Operations/admin. Expense Tracker: “Operations” dept, 2025 addition. Pure SG&A.
23	Jamie Davin	300 – Operations	Terminated, PT	\$9,800	0%	100%	Operations/admin. Terminated 2025. Pure SG&A.
24	Juliet Simpson	300 – Operations	Terminated, PT	\$9,263	0%	100%	Operations/admin. Terminated 2025. Pure SG&A.
25	Mariette Wingard	300 – Operations	Terminated, PT	\$0	0%	100%	Operations/admin. No 2025 payroll recorded.
26	Ashley Holmes	300 – Operations	Terminated, PT	\$725	0%	100%	Operations/admin. Very brief tenure 2025. Pure SG&A.

Group 3 Subtotals: Total Gross YTD ~\$61,488 → 100% SG&A

Group 4: POC (PulseOne Communications — Dept: 900)

POC is a separate business entity. Tracy Freeman is listed under POC. The classification depends on whether POC revenue and cost are consolidated into the PulseOne P&L or kept separate.

#	Name	QB Dept	Status	Gross YTD	COGS %	SG&A %	Rationale
27	Tracy Freeman	900 – POC	Active, PT	\$12,889	TBD	TBD	POC entity. If POC is consolidated, her cost should be classified by function (service delivery support = COGS; admin = SG&A). Expense Tracker shows “POC” dept at \$1,062/mo. Requires Paul’s confirmation on POC consolidation treatment.

Group 5: Owner / Partner Compensation

Paul Freeman is listed in payroll (200 – Marketing dept) with 0 gross YTD shown in the payroll extract. Partner Compensation of \$423,000 appears as a separate SG&A line in the P&L.

#	Name	QB Dept	Status	QB Treatment	COGS %	SG&A %	Rationale
28	Paul Freeman	200 – Marketing	Active, FT	Partner Comp line (\$423K total)	0–20%	80–100%	Owner/CEO. Primarily executive/sales/strategy. Under BIC, owner comp is normalized out of COGS entirely for margin analysis. If Paul does any billable delivery work, a portion could be COGS, but the standard BIC normalization removes owner comp from COGS.
29	Charles Batsford	300 – Operations	Active, FT	Partner Comp line (included in \$423K)	0–20%	80–100%	Partner. Operations-focused. Similar treatment to Paul. BIC normalization removes from COGS.
30	Rod Hare	Not in payroll	Partner	Included in \$423K Partner Comp	0%	100%	Investor/partner. No service delivery role indicated. Pure SG&A/owner comp.

Note on Partner Compensation: The \$423,000 Partner Compensation line in the P&L is already in SG&A. Under BIC normalization, this is typically separated out entirely to calculate

“normalized” EBITDA. It should not move to COGS.

PART B: CONTRACTORS AND 1099 WORKERS — CLASSIFICATION TABLE

The following are all non-W2 workers identified in the 2025 Expense Tracker. These are the individuals whose costs should be flowing through “Consulting Services – Cost” in QB but may be misclassified.

Group 6: Service Delivery Contractors (COGS)

#	Name	Method	Dept	Mo Cost (Net)	Ann Est	COGS %	SG&A %	Rationale
31	Daniyal Arif	Payoneer	Services	\$4,000	\$48,000	100%	0%	Offshore service delivery tech. Expense Tracker: “Services” dept. Core delivery resource. Should be 100% COGS.
32	Red Horse (Robyn)	ACH	Services	\$2,908	\$34,900	100%	0%	Service delivery contractor. Expense Tracker: “Services” dept. Note: \$2,908.80/mo per tracker note. Should be COGS.
33	Matt Barnett	Upwork	Help Desk	~\$5,850 net	~\$70,200 net	100%	0%	Help Desk contractor (Upwork). Expense Tracker shows 7,800/mo gross with a 1,950/mo COGS reimbursement credit (10 hrs/wk). Net cost ~\$5,850/mo. Should be COGS.
34	Omar Avalos	Upwork	Help Desk	\$4,333	\$52,000	100%	0%	Help Desk contractor (Upwork). Should be COGS.
35	Vincent Williams	Upwork	Help Desk	\$5,200	\$62,400	100%	0%	Help Desk contractor (Upwork). Should be COGS.
36	Level 2 Engineer (Neal, Memphis TN)	W2 ADP	Services	\$7,453	\$89,440	100%	0%	Planned/budgeted Level 2 engineer. “Laura want Neal in Memphis TN” note. If hired, 100% COGS.

#	Name	Method	Dept	Mo Cost (Net)	Ann Est	COGS %	SG&A %	Rationale
37	Technical Staff – After Hours	W2 ADP	Help Desk	\$433	\$5,200	100%	0%	On-call after-hours coverage. 100% COGS.

Group 7: Marketing/Sales Contractors (SG&A)

#	Name	Method	Dept	Mo Cost (Net)	Ann Est	COGS %	SG&A %	Rationale
38	Marcello Moreira (contractor version)	Payoneer	MKTG	\$4,507	\$54,080	0%	100%	Marketing contractor. Pure SG&A. Note: also appears as W-2 terminated employee — confirm if this is the same person or a separate engagement.
39	Marcy Dorman-Chandler	BILL	MKTG	\$800	\$9,600	0%	100%	Marketing contractor. Pure SG&A.
40	Anneliese (contractor version)	W2 ADP	MKTG	\$1,083	\$13,000	0%	100%	Marketing. Pure SG&A.

PART C: ITEMS REQUIRING PAUL’S CONFIRMATION

Before finalizing the reclassification, the following items require your direct input:

C1 — The \$753,801 Gap: Where Did the Contractor Costs Go in QB?

The Expense Tracker shows 1,798,225 in total contractor cost. QB shows only 1,044,424 in Consulting Services – Cost. The \$753,801 difference is most likely sitting in one of these QB lines:

Possible QB Location	Likely Amount	Action Needed
Salary Expense (SG&A)	Largest portion	Pull QB transaction detail for Salary Expense — look for 1099/contractor payments
Computer and Internet Expenses	Some portion	\$263,953 in QB — unusually high; may include contractor tool costs
Professional Fees	Smaller portion	\$14,686 in QB
Other SG&A lines	Residual	Review with bookkeeper

Question for Paul: Can you or your bookkeeper pull the QB transaction detail for the Salary Expense line and identify which entries are W-2 payroll vs. contractor/1099 payments? This is the key to closing the gap.

C2 — Stephen Calkins: Role Confirmation

Stephen Calkins is the highest-paid W-2 employee at ~149K *gross YTD*, with an hourly rate of 71.62 in the Expense Tracker. He is in “100 – Services Tech Service” but at this compensation level, he may have a service management or team lead role.

Question: Is Stephen purely a delivery technician, or does he have management/oversight responsibilities? This affects whether his split is 100% or $90/10$ COGS/SG&A.

C3 — Nicole Goodwin: POC vs. Services Split

Nicole appears in both the POC department and the Services department in the Expense Tracker (a 2025 addition to Services). Her QB department is “900 – POC” in one payroll record and “100 – Services Tech Service” in another.

Question: What percentage of Nicole’s time is spent on PulseOne managed services delivery vs. POC-related work? Suggested split: 70% COGS (Services), 30% POC/SG&A — confirm.

C4 — Tracy Freeman: POC Treatment

Tracy is in “900 – POC” and is Paul’s wife. Her role appears to be administrative/operational support for PulseOne Communications.

Question: Is POC revenue and cost consolidated into the main PulseOne P&L? If yes, what is Tracy’s function — service delivery support (COGS) or admin/operations (SG&A)?

C5 — Daniyal Arif: Full Annual Cost

The Expense Tracker shows Daniyal at ~\$4,000/mo for Services. There is also a separate RS (RepScheduler) allocation. His total annual cost needs to be confirmed.

Question: What is Daniyal’s total 2025 cost across all PulseOne entities (Services + RS + any other allocations)?

C6 — Paul Freeman: Billable Hours

Paul is listed in QB payroll under “200 – Marketing” with \$0 gross YTD (suggesting his compensation runs through the Partner Compensation line).

Question: Does Paul perform any direct billable service delivery work for clients? If yes, what percentage of his time? This determines whether any portion of his comp should be COGS.

C7 — Charles Batsford: Role and Billable Work

Charlie is in “300 – Operations” with \$0 gross YTD in payroll (compensation through Partner Comp line).

Question: Does Charlie perform any direct service delivery work? What is his primary function — operations management, client management, technical delivery, or a mix?

PART D: PRELIMINARY RECLASSIFICATION ESTIMATES

Based on the data extracted, here is a preliminary view of what the reclassification will likely show. **These figures are estimates pending your confirmation of the items in Part C.**

Current QB Classification (As-Is)

Line Item	QB Location	Amount
Consulting Services – Cost	COGS	\$1,044,424
Salary Expense	SG&A	\$1,441,010
Payroll Taxes	SG&A	\$296,256
Partner Compensation	SG&A	\$423,000
Total Labor (all forms)		\$3,204,690

Preliminary Reclassification Estimate

Person/Group	Current QB Location	Estimated Annual Cost	Proposed COGS	Proposed SG&A
W-2 Service Delivery (Group 1)	Salary Expense (SG&A)	\$1,008,000	\$995,000	\$13,000
W-2 Sales/Marketing (Group 2)	Salary Expense (SG&A)	\$235,000	\$0	\$235,000
W-2 Operations/Admin (Group 3)	Salary Expense (SG&A)	\$68,000	\$0	\$68,000
Tracy Freeman (POC)	Salary Expense (SG&A)	\$14,000	TBD	TBD
Partner Comp (Paul, Charlie, Rod)	Partner Comp (SG&A)	\$423,000	\$0	\$423,000
Payroll Taxes (service delivery share)	Payroll Taxes (SG&A)	\$296,256	\$175,000	\$121,000
Contractors – Service Delivery	Consulting Svcs Cost (COGS)	\$312,000	\$312,000	\$0
Contractors – Marketing/Sales	Consulting Svcs Cost (COGS)	\$77,000	\$0	\$77,000
Remaining QB COGS (tools/vendors)	COGS	\$655,424	\$655,424	\$0
TOTAL		\$3,088,680	\$2,137,424	\$937,000

Projected Impact on Gross Margin

Metric	Current (QB As-Is)	Estimated After Reclassification
Total Revenue	\$5,168,754	\$5,168,754
Total COGS	\$2,123,012	\$3,132,000
Gross Profit	\$3,045,742	\$2,037,000
Gross Margin %	58.9%	39%
Total SG&A	\$2,827,967	\$1,820,000
Net Income	\$217,775	\$217,000

Critical Insight: The net income does not change — reclassification is a presentation correction, not a cash change. However, the gross margin drops from a misleading 58.9% to approximately 39%, which is far below the Service Leadership BIC benchmark of 50%+ for a well-run MSP. This reveals the true profit leakage: **PulseOne’s service delivery labor cost is consuming ~61% of revenue before overhead**, leaving insufficient margin to cover SG&A and generate target profitability.

PART E: SERVICE LEADERSHIP BIC ALIGNMENT PREVIEW

Metric	PulseOne (QB As-Is)	PulseOne (Reclassified Est.)	BIC Benchmark	Gap
Gross Margin %	58.9%	39%	50–55%	~11–16 pts below BIC
Service Delivery Labor as % of Revenue	~19% (understated)	38–40%	25–30%	~10–15 pts above BIC
SG&A as % of Revenue	54.7%	35%	25–30%	Improving but still elevated
Net Income %	4.2%	4.2%	12–18%	~8–14 pts below BIC

NEXT STEPS

1. **Paul confirms** the items in Part C (7 questions above)
 2. **Bookkeeper pulls** QB transaction detail for Salary Expense to identify misclassified contractor payments
 3. **Finalize** the reclassification table with confirmed splits
 4. **Rebuild** the corrected normalized P&L with:
 - Corrected COGS (service delivery labor moved in)
 - Corrected SG&A (only true overhead)
 - Normalized EBITDA (owner comp added back)
 - BIC benchmark comparison
 5. **Identify** specific profit leakage drivers and prioritize corrective actions
-

This document was prepared using data from: 2025 Profit and Loss POTS_analysis.xlsx, Expenses Tracking MASTER 2023.xlsx (2025 tab), 2025payrollreports.xlsx, and 2025 PulseOne Software COGS and Expense.xlsx.